CONVEX RESEARCH GROUP

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Morning Note
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Tone: Mixed

Waller backed a December hike four and a half hours before CPI, and the market is taking it calmly because Brent is now below $90. Speaking in London at 4:00 AM ET, Governor Waller said he would "still support a 25 basis point increase" at the December meeting and that "more robust action" may be called for if inflation runs well above his forecast; CME FedWatch December hike odds moved to 96.3% after the speech, per Cointelegraph, from about 84% earlier per Saxo. That lands on a tape that just had its best day since April 8: the S&P 500 rose 2.35% to 7,549.94, the Nasdaq 100 3.40% and the Dow 1,104 points to 52,389.75 as Brent fell 6.26% to $92.17 and AMD jumped 13.26%, even with Nvidia down 4.27% on its board probe. Brent has since slipped to about $89.75, below $90 for the first time since August, after Trump called further strikes on Iran "quite unlikely". The curve read Monday as a twist flattener, with 2s10s down 3bp to 32bp and the 2Y near 4.56%, while VIX fell 5.72 to 19.92. Asia extended the AI rebound, with the Kospi up 4.4% and the Nikkei 2.9% back above 60,000. October CPI at 8:30 AM ET, consensus +0.3% headline and +0.2% core m/m with no year over year figure, now decides whether December is 25bp or something larger, not whether the Fed moves.

OVERNIGHT MACRO

- **Asia:** Nikkei +2.9% to 60,459.58, led by SoftBank +13.9% ahead of earnings, Kioxia +9.2%, Tokyo Electron +6.1% and Advantest +4.6%. Kospi +4.4% to 5,239.13, triggering a buy side sidecar, with SK Hynix +6.7% and Samsung +4.7%. Taiex +2.5%, Hang Seng +0.6% to 24,584.81, Shanghai Composite +0.2% to 3,666.12, ASX 200 +1.1% to 9,129.00. China October exports rose 35.2% y/y and imports 41.6%. India closed for a holiday.
- **Europe:** Stoxx 600 +0.9% by about 4:50 AM ET, building on Monday's 1.3% gain to 656.52 and trading near a record high on lower oil. DAX and CAC 40 each about +1.3%, FTSE 100 +0.7%, FTSE MIB and IBEX about +1.3%. Infineon reports today.
- **FX:** Dollar index closed Monday at 101.69, -0.60%, as oil fell. EUR/USD 1.1229 and USD/JPY 157.96 in Asian trade, against Monday closes of 1.1226 and 157.92. Bitcoin closed at $74,986, +0.54%.
- **Commodities:** Brent about $89.75 and WTI about $84.44 this morning, after Monday closes of $92.17 (-6.26%) and $86.38 (-4.90%). Trump cited "positive momentum" after talks with Qatar's prime minister, which is reportedly mediating with Iran. Gold closed +1.83% at $4,149.50 and copper +2.65% at $6.38/lb.
- **U.S. Futures:** Dow E-minis +0.39%, S&P 500 E-minis +0.17%, Nasdaq 100 E-minis -0.01% at 5:01 AM ET. Nvidia +1.3% pre-market, CoreWeave +2.4% ahead of earnings, Nebius +1.5%, Micron about +1%. Monday close: S&P 500 +2.35% to 7,549.94, Nasdaq 100 +3.40% to 27,907.63, Dow +2.15% to 52,389.75, Russell 2000 +3.15% to 2,840.81.

RATES & CREDIT SNAPSHOT

Instrument	Level	Move	Note
2Y Treasury	4.51%	+5bp	Friday close (FRED). Near 4.56% Monday per Saxo.
10Y Treasury	4.86%	+2bp	Friday close (FRED). About 4.88% early Tuesday.
30Y Treasury	5.26%	+1bp	Friday close (FRED). Down 41bp over the past month.
2s10s	32bp	-3bp	Monday print. Twist flattener into CPI.
10Y Breakeven	2.22%	-1bp	Monday print, with Brent -6.26%.

The front end is carrying the Fed: the 2Y rose 5bp Friday on payrolls to 4.51% and was near 4.56% Monday, while 2s10s flattened another 3bp to 32bp and 10Y breakevens slipped 1bp to 2.22% as Brent fell 6.26%. Monday's $58bn 3Y auction stopped at 4.627% with a record 35.04% direct take, so demand for front end paper at these levels is there. Rate vol is falling with equity vol, MOVE down 6.79 to 85.98. Today brings CPI at 8:30 AM ET and a $42bn 10Y auction at 1:00 PM ET, the last cash session before Wednesday's Veterans Day bond market close.

Meeting	Current Range	Market-Implied	Note
FOMC, Dec 8 to 9	3.75 to 4.00%	About 96% hike	CME FedWatch 96.3% after Waller, per Cointelegraph; about 84% before. Bowman 3:30 PM and 6:30 PM ET.

Credit: IG OAS at 93bp, unchanged, and HY OAS at 342bp, -6bp (Friday close, FRED). Friday's HY tightening reversed part of Thursday's 16bp blowout, and Monday's equity rally, a VIX back under 20 and CoreWeave +5.56% suggest the AI infrastructure funding scare is easing; CoreWeave's results after the close are the next read.

COMMODITIES & SECTOR TABLES

Commodity	Level	Chg	Note
Brent Crude	$92.17/bbl	-6.26%	Monday close; about $89.75 this morning, below $90 for first time since August
WTI Crude	$86.38/bbl	-4.90%	Monday close; about $84.44 this morning
Gold	$4,149.50/oz	+1.83%	Monday close; +4.53% over the past week
Copper	$6.38/lb	+2.65%	Monday close; -2.46% over the past week
Nat Gas	$3.21/MMBtu	+6.90%	Monday close; +12.22% over the past week

Monday was a broad risk-on reversal led by the cyclicals and the AI chain. Industrials rose 3.82% and Technology 3.73%, with AMD +13.26% and Broadcom +8.78%, while Energy lagged at +0.52% as crude fell and Staples rose just 0.90%. Nvidia was the outlier, down 4.27% to $178.67, its lowest close since April 7, on the board probe of CEO Jensen Huang; it is up 1.3% pre-market. Power names had their own catalysts: Constellation Energy rose 10.46% after raising full year guidance to $12.50 to $12.80, and NRG 10.45% on a $4bn sale of six gas plants to LS Power.

Sector / Name	Chg	Read
Industrials (XLI)	+3.82%	Best sector Monday
Technology (XLK)	+3.73%	Chip led rebound; still -1.92% over the past week
Cons. Discretionary (XLY)	+2.92%	Lower oil helps the consumer read
Energy (XLE)	+0.52%	Worst sector with Brent -6.26%
Cons. Staples (XLP)	+0.90%	Defensives lagged
AMD / Broadcom	+13.26% / +8.78%	Led the semis rebound
Nvidia	-4.27%	Board probe of CEO; +1.3% pre-market
Constellation Energy	+10.46%	Q3 adj. EPS $5.06; guidance raised
Hims & Hers	Down more than 11%	Surprise Q3 net loss
Sanmina (after hours)	+20.21%	FY2027 revenue guide $17.5bn to $19.5bn
Take-Two (after hours)	+4.32%	Kept FY net bookings at $8.0bn to $8.2bn

EQUITY SETUP

The open looks steady after Monday's 2.35% S&P 500 gain, with Dow E-minis +0.39% and Nasdaq 100 E-minis flat at 5:01 AM ET. The rally rested on two legs, oil and the AI rebound, and both are holding overnight: Brent is below $90, the Kospi and Nikkei rose 4.4% and 2.9% on chips, and Nvidia is 1.3% higher pre-market after its 4.27% drop. Monday was still a short covering style day, with VIX falling 5.72 points in a session, and the S&P 500 remains below its October record, so CoreWeave

after the close, the first big AI infrastructure print since last Thursday's rout, matters for whether the bounce has legs. Anthropic is expected to launch its IPO roadshow today with pricing next week, per Reuters, another test of appetite for AI paper.

CPI is the hinge for everything else. A print at the +0.2% core consensus keeps December at 25bp and lets oil keep easing the long end; with hike odds already near 96% after Waller, there is little left for the front end to price on an in line number. A +0.3% or hotter core puts Waller's "more robust action" language in play and would likely pressure the rate sensitive parts of Monday's rally, small caps (Russell 2000 +3.15%) and the long duration tech names, hardest. Before the open: TransDigm, On Holding, Sea, Wix and Vodafone. After the close: CoreWeave, Rigetti, Petrobras and Sonos.

ONE THEME

Oil is loosening financial conditions as fast as the Fed is tightening them. Brent has fallen from a $98.32 Friday close to about $89.75 this morning, 10Y breakevens are at 2.22%, VIX is back under 20 and HY spreads have stopped widening. Taken alone, that is the disinflation and risk appetite mix that would normally let a central bank wait. The Fed is reading it the other way: easier conditions give it room to hike without breaking anything, which is why Waller could endorse December the morning after the best equity day since April and why FedWatch went to about 96%. The curve agrees, flattening 2s10s to 32bp as the front end holds near 4.56% and oil pulls inflation compensation lower. The tension resolves through core CPI, not headline: oil will do the headline work, but the Fed is hiking on wages and services, and core is what tells it whether one hike is enough.

EVENTS TO WATCH

- **4:00 AM ET Fed's Waller (done):** Backed a 25bp December hike; said more robust action may be needed if inflation runs well above forecast.
- **8:30 AM ET October CPI:** Consensus +0.3% m/m headline vs +0.6% prior, core +0.2% vs +0.3%. No year over year figure; September CPI was 3.7% y/y.
- **1:00 PM ET 10Y Note Auction:** $42bn, settles Nov 16.
- **3:30 PM ET Fed's Bowman:** Economic outlook, Washington; speaks again at 6:30 PM ET.
- **Before the open:** TransDigm, On Holding, Sea, Wix, Vodafone.
- **After the close:** CoreWeave (prior quarter guide for Q3 revenue $3.45bn to $3.6bn), Rigetti, Petrobras, Sonos.
- **Wed Veterans Day:** Bond market closed, stock market open.
- **Thu:** Fed Governor Barr 10:00 AM ET; $25bn 30Y auction. Cisco and Applied Materials report this week.
- **Fri:** Bowman 10:50 AM ET, Vice Chair Jefferson 7:00 PM ET. Nvidia reports Nov 17; FOMC minutes Nov 18; decision Dec 9.
- **Key risks:** A core CPI at +0.3% or above turning a 25bp December hike into a debate over 50bp. A disappointing CoreWeave print reviving the AI funding scare. A breakdown in the Qatar mediated Iran talks reversing Brent's slide below $90.